

Accounts Payable

Business Requirements Document (BRD)

DOCUMENT CONTROL

1.1. Change Record

Date	Author	Version	Change Reference

1.2. Reviewers

Name	Position

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1.2 Introduction

Purpose

This document presents the Business Process Document constructed for the financial system. The Business Process Model documents the triggering events that drive the business areas that are to be automated and describes the current business process that the business executes in response to each of those events as a set of one or more activities.

The key focus of this phase was as follows:

- Quick mapping of processes wherein the practices followed by **WUJHA DEVELOPMENT** are in line with SWAY ERP Standards.
- Clearly identifying the High focus areas.
- Identification of process from the product that needs to be implemented at **WUJHA DEVELOPMENT**.

Key User should be able to visualize the product, get used to the flow, terms, and conventions, and hence be able to contribute much higher in the mapping and the training phases.

Objective

The objective of this document is to:

- Introduce leading Practices followed in terms of various Processes of SWAY Applications specific Accounts Payables
- Capture Key requirements from the Process Owners.
- This document also represents the business processes as per SWAY standard business practice.

Scope

The complete SWAY Applications features related to the business processes identified during the High-Level Analysis (HLA) phase. These processes were refined in the course of the workshops based upon the discussions with the SWAY team and compared to the existing business of Operators thus identifying the future process that needs to be implemented and also the GAPS in process if any. The business processes mentioned in this document have been standard business process with the respective SWAY workgroups.

This document includes a listing of all the business processes discussed, detailed description of the involved process steps, either automated or manual, and supported by diagrammatic representations. The aim of this document is to consolidate all standard business processes.

How This Document is organized

This document contains Processes of Accounts payables, which are Currently Handled by the workgroup within the Scope of this project.

- **The process listing and process description** table provides a name and description for each process within the Function. The table has the following columns
 - **Process ID:** An Id to denote each process.
 - **Process Title:** short description of the process.
 - **Description of the Process:** Detailed Description of the process.

- **The Process Flow Diagram** includes a diagrammatic representation of the process steps that form part of the business process.

One or more of the SWAY Applications modules will cater to the Functional Areas. An Introduction for each of the modules catering to the Functional Area is included at the beginning of the Chapter relating to the Functional Area.

- **Process description:** This is the summary of the future processes developed and it has following sections.

- **The process steps descriptions** identify the process steps that form part of the business process. The table has the following columns
 - **Process Step ID:** Process Step Id
 - **Process Description:** Records the process step as clearly as possible.
 - **Step Type:** Manual means it's done outside the system, System assisted means step will be conducted within the system, System generated means it's a system-generated step and Decision means the action could be Yes or No.

IMPORTANT NOTES DEPEND ON ANALYSIS SESSIONS AND GENERAL NOTES:

Financials

Accounts Payable

2.1 Supplier Classification

- Maintaining Suppliers Information is the main core of the Procurement; it has to be managed carefully to avoid duplications and to ensure the accuracy of their data.
- Some suppliers will use multiple addresses and site.
- Supplier Numbering will be generated Automatically form system.
- Examples of supplier types are but not limited to (Contractors, Brokers, Marketing, Others, Employees, Other Creditors)
- Tax Registration Number and Tax Buyer ID are mandatory to avoid supplier duplication, in case of a non-taxable supplier we will record the National ID instead.
- Add supplier original documents as attachments.
- Select "Employee" type in supplier definition list for Employees.

2.2 Invoices and Sequence Numbering

- All Invoice Sequence Number (Voucher Number) will be defined to identify invoices internally rather than the supplier received invoice number for each type of the listed below types starting from the Number (???)
Standard Invoice
Prepayments
Credit Memo
Debit Memo
- Invoice should have a unique Sequence per ledger (document Number).
- Invoice Number should be unique per Supplier to avoid duplication.
- Payment's voucher will be defined internally rather than check NO (???)
- Sequence for Refund payment request and WHT invoice will be the same sequence.
- Payment Documents (Cheque books) numbers will be defined at the bank account level according to the actual cheque book numbers received from banks and a different sequence will be assigned for each payment Type (Cash - Transfer - Checks)

- We can record invoices by spreadsheet feature in case of bulk invoices either matched or non-matched.

2.3 Matching Way

- Invoices will be matched with PO receipts (3-way matching). As hard invoice NO-receipts NO-PO NO

2.4 Payment Term

- Payment terms for **WUJHA DEVELOPMENT** for instance will be received from WUJHA team at data collection sheets.
- Payments terms for **WUJHA DEVELOPMENT** every supplier has different payments term and (my recommendations for this point get from PO).
- Payment terms will be for instance, will be received **WUJHA DEVELOPMENT** team at data collection sheets.

2.5 Payment Methods

- Payment method will be wire, cash and checks will be received from WUJHA team at data collection sheets.
- Tax Rates
- About the Vat tax will be recoverable and non-recoverable and a default rate will be 0% and the user can change the default rate from drop down list and select from these rates (0%-15%).
 - WUJHA DEVELOPMENT will use the Withholding tax depend on service type for example, rate 5% and the calculation point and the making WHT invoice will be at invoice time.

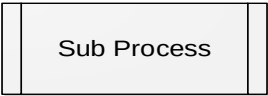
2.6 Petty Cash

- Petty cash depend on business need will be handled either from cash management module or from Accounts payable module and WUJHA DEVELOPMENT team will provide us which approach will be used.

2.7 Accounts Payable For WUJHA DEVELOPMENT

- Expenses have no PO just manual invoice but the best practice to record the invoice with PO.
- The suppliers send the invoice then validate it then they make the payment.
- It has expenses transaction; they record the entries manually (recommended to record any expense from AP module).

WUJHA DEVELOPMENT BUSINESS PROCESS**2 Process Symbols**

 Process in SWAY	This symbol represents a group of steps or activities to perform
 Decision	This symbol represents a Decision. Decisions are typically phased as Yes / No Questions
 Document	This symbol represents information input/output such as report or document. This symbol does not always imply hard copy, as some are verbal
 Sub Process	This symbol represents an offset page reference. Indicates a cross reference with another page of the flowchart
 Start / End	This symbol represents start and end of the process

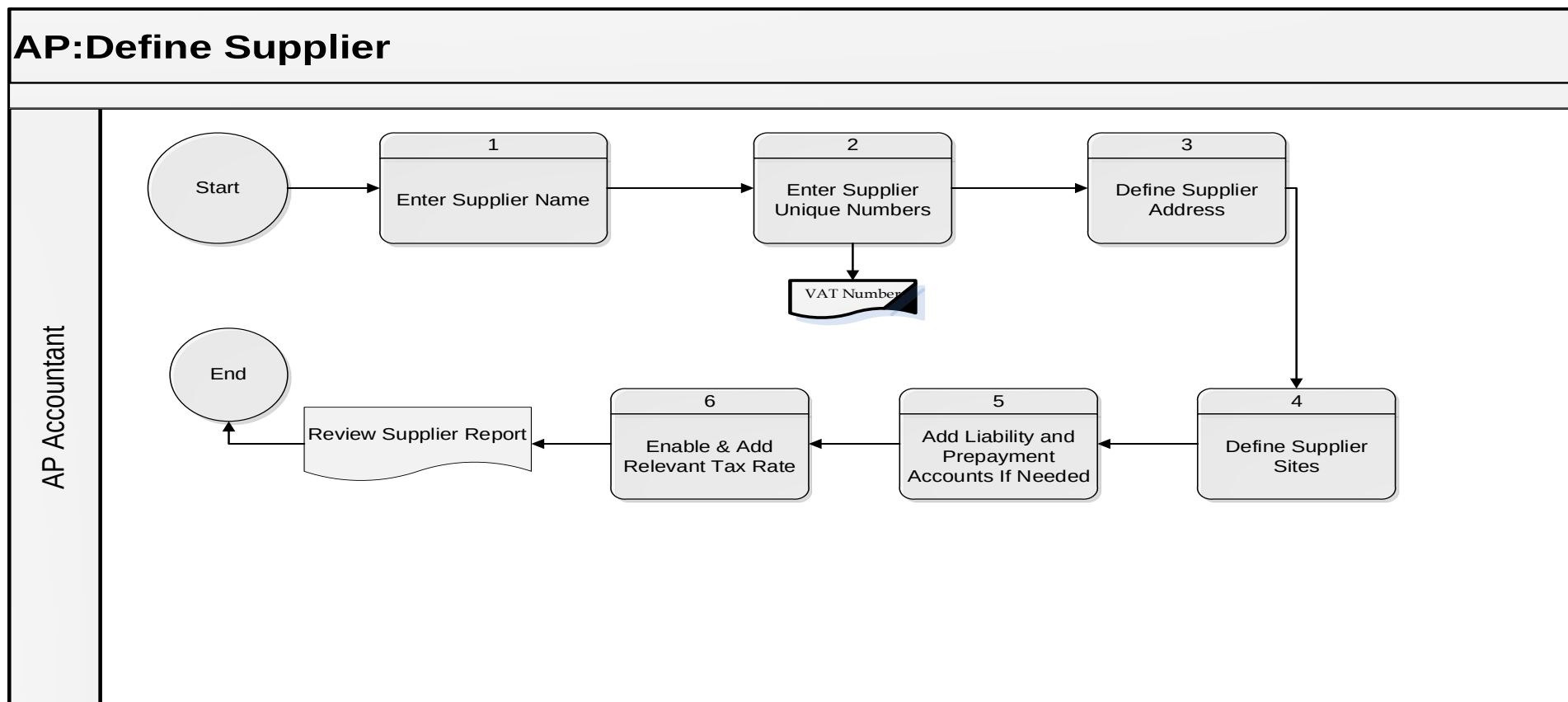
	This represents the Manual Operations. Manual Operations are all parts of process which are carried outside the SWAY System
	This Represent the steps of process that will be done throw custom extensions or SWAY Applications

SWAY Application Standard Process

Accounts Payables

3.1 Define Supplier

3.2 Process Flow Diagram – Define Supplier



3.3 Process details – Define Supplier / Employee

- Maintaining Suppliers Information is the main core of the Procurement; it has to be managed carefully to avoid duplications and to ensure the accuracy of their data.
- Some suppliers will use multiple addresses and site.
- Supplier Numbering will be generated Automatically form system.
- Examples of supplier types are but not limited to (Contractors, Brokers, Marketing, Others, Employees, Other Creditors)
- Tax Registration Number and Tax Buyer ID are mandatory to avoid supplier duplication, in case of a non-taxable supplier we will record the National ID instead.
- Add supplier original documents as attachments.
- Select “Employee” type in supplier definition list for Employees.

3.4 Process Steps – Define Supplier / Employee

Process Name	Performer	Automation	Description
Enter supplier name	Procurement Ap Accountant	System	The name of the supplier must be unique to avoid duplication.
Enter supplier number	Procurement Ap Accountant	System	Will add the required number as (Taxpayer ID and Tax Registration Number)
Define supplier address & site	Procurement Ap Accountant	System	Enter the supplier address to create the site
Add the needed accounts	Financial Ap Accountant	System	Add the liability & prepayment accounts in supplier site
Enable the relevant Tax Rates	Financial Ap Accountant	System	Enable the Tax and Withholding Tax rates
Review supplier report	Procurement Ap Accountant	System	Review supplier report to validate the information

3.5 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Input Basic Details	Enter Supplier Name	AP Accountant	Finance Manager	System Admin (if needed)	Management Team
	Add VAT Number	AP Accountant	Finance Manager	Tax Specialist	Management Team
Define Address Information	Specify Sites	AP Accountant	Finance Manager	Supplier Representative	Management Team
Configure Financial Accounts	Assign Liability Accounts	AP Accountant	Finance Manager	Internal Auditor	Management Team
	Set Tax Rates	Tax Specialist	Finance Manager	External Consultant	Management Team
Review and Validate Data	Generate Supplier Report	AP Accountant	Finance Manager	Internal Auditor	Management Team

- **Responsible (R):** The individual(s) who perform the task.
- **Accountable (A):** The person who ensures the task is completed and has decision-making authority.
- **Consulted (C):** The person(s) providing input or expertise.
- **Informed (I):** Those kept up-to-date on progress or outcomes.

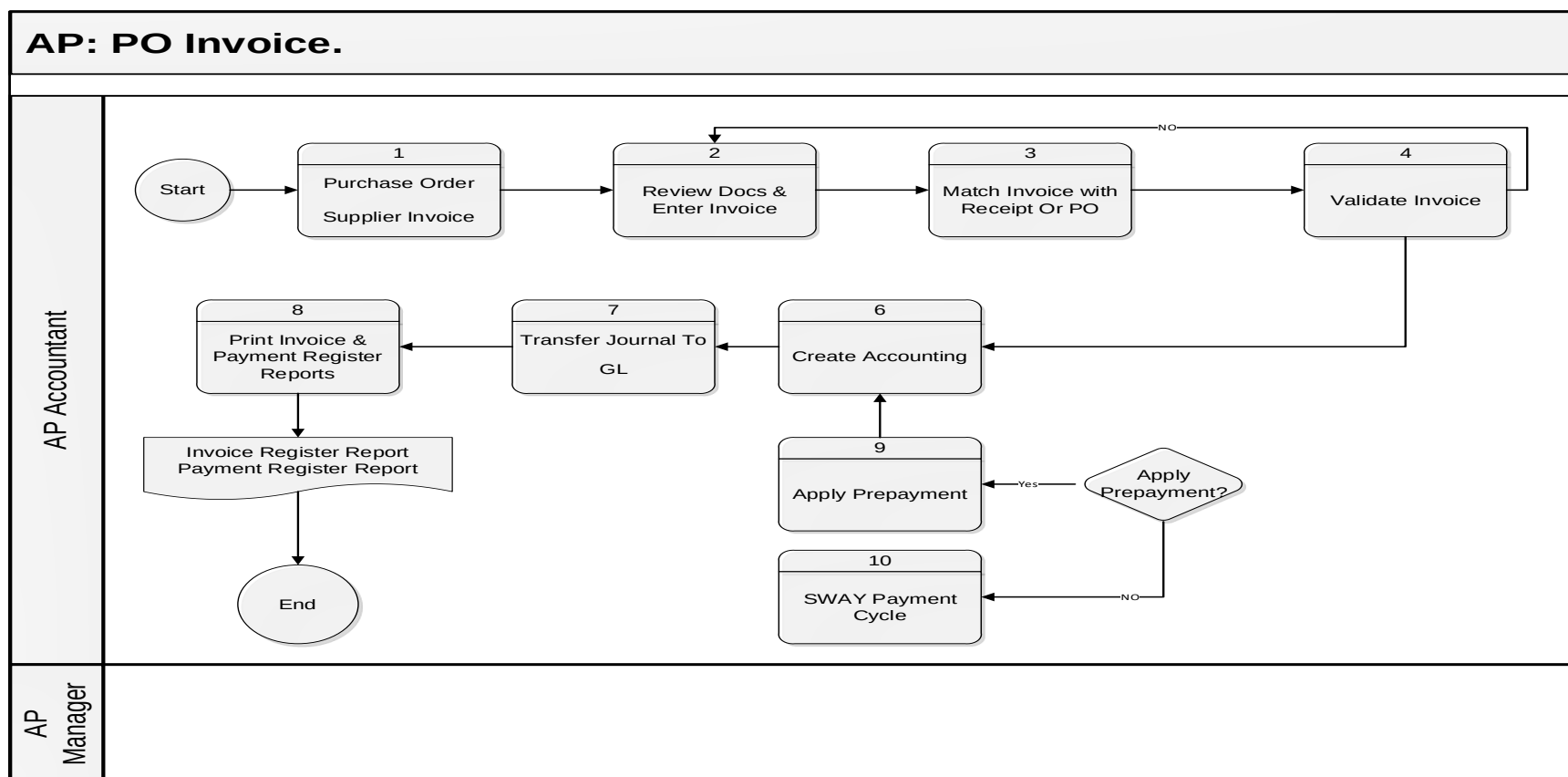
3.6 Required Attributes

Stage	Step	Attributes	Description
Input Basic Details	Enter Supplier Name	- Supplier Name - Supplier Code	Unique identifiers for supplier record.
	Add VAT Number	- VAT Number - Tax Identification Number (TIN)	Legal registration identifiers.
Define Address Information	Specify Sites	- Site Name - Address Line - City - Country - Contact Number	Essential location and contact details.
Configure Financial Accounts	Assign Liability Accounts	- Liability Account Code - Description of Account	Defines financial responsibilities linked to supplier.
	Set Tax Rates	- Tax Rate Code - Applicable Tax Percentage	Applies taxation policies to supplier transactions.
Review and Validate Data	Generate Supplier Report	- Report ID - Date Generated - Prepared By	Provides audit trail and documentation validation.

3.7 Required Automation

Automation Process	Automation Description
Supplier Name Entry Automation	Predefined input fields in SWAY to minimize errors and ensure consistency.
VAT Validation Automation	Integration with tax authority databases to verify VAT numbers and maintain compliance.
Address Autofill Automation	Use of mapping APIs to autofill and validate supplier site addresses for accuracy and efficiency.
Liability Account Assignment Automation	Preprogrammed tools in SWAY to automate account selection based on supplier categories.
Tax Rate Automation	Automated retrieval of tax codes and percentages through regulatory databases to ensure compliance.
Report Generation Automation	Automatic report generation using predefined templates to save time and ensure structured output.

3.9 Process Flow Diagram – PO Invoice



3.10 Process details – PO Invoice

- Supplier Invoices will be manually entered in the Invoice Workbench, based on a previously create purchase order to match with, and this will be the method used for entering daily suppliers' invoices.
- 3-Way Matching will be used (PO, Receipt, Invoice).
- Payables Invoice approval will be before creating Accounting.
- Foreign & local invoices can be paid with different currencies.
- Corporate rate maybe changed with another manual rate "user Rate" at the invoice depends on contract rate that are approved between WUJHA & Supplier.
- Adjustment for paid invoice will not be allowed.
- No tolerance amount and QTY between PO / Receipt and matched AP Invoice.
- Sequence will be used at AP Invoice and Payment.
- Types of AP transaction taxes:
 - a. Stamp Tax (20% Recoverable)
 - b. Withholding Tax (1% - 3% - 5%)
 - c. VAT (5% - 10% - 15%) (non-Recoverable)
 - d. Article 56 (20%) Will be treated as a withholding tax on foreign transfers.

3.11 Process Steps – PO Invoice

Process Name	Performer	Automation	Description
Create Invoice manually	AP accountant	Manual	Review supporting documents & enter the invoice on the system.
Match Invoice with PO Details	AP accountant	System	Match invoice with the appropriate receipt
Apply Prepayment if Any	AP accountant	System	Apply Prepayment if Any
Submit Invoice Validation	AP accountant	System	Invoice Validation
Create accounting	AP accountant	System	Create the Journal Account for the invoice
Review Invoice Register	AP accountant	Manual	Review Invoices

3.12 RACI matrix

Process Step	Responsible	Accountable	Consulted	Informed
Receive Purchase Order Supplier Invoice	Procurement Team	AP Accountant	Supplier	Finance Department
Review Documents and Enter Invoice	AP Accountant	AP Team Lead	Procurement Team	Finance Department
Match Invoice with Receipt or PO	AP Accountant	AP Team Lead	Procurement Team	Finance Department
Validate Invoice	AP Accountant	AP Team Lead	SWAY ERP Specialist	Finance Department
Create Accounting	AP Accountant	AP Team Lead	Accounting Manager	Finance Department
Transfer Journal to GL	AP Accountant	Accounting Manager	SWAY ERP Specialist	Finance Department
Print Reports	AP Accountant	AP Team Lead	Procurement Team	Finance Department
Apply Prepayment	AP Accountant	AP Team Lead	Procurement Team	Finance Department
Initiate Payment Cycle	AP Accountant	Accounting Manager	SWAY ERP Specialist	Finance Department

- **Responsible (R):** The individual or team directly responsible for completing the task.
- **Accountable (A):** The individual or role ultimately answerable for the task's success.
- **Consulted (C):** Individuals providing advice, input, or expertise during the task.
- **Informed (I):** Stakeholders who are kept updated on the task or its outcomes.

3.13 Required attributes

Process Step	Required Attributes
Receive Purchase Order Supplier Invoice	- Supplier name and contact information
	- Purchase Order (PO) number
	- Invoice details (invoice number, date, amount)
Review Documents and Enter Invoice	- Supporting documents (PO copy, delivery receipt)
	- Invoice line items (product or service description, quantity, price)
	- Tax details (VAT, or applicable taxes)
Match Invoice with Receipt or PO	- Receipt reference number
	- PO reference number
	- Matching status (e.g., matched, mismatched)
Validate Invoice	- Compliance checks (tax regulations, contract terms)
	- Approval status
	- Invoice accuracy status
Create Accounting	- Chart of accounts (GL account codes)
	- Debit and credit entries
	- Journal batch ID
Transfer Journal to GL	- GL entry details
	- Posting batch ID
	- Transfer confirmation status
Print Reports	- Report ID
	- Invoice register
	- Payment register
Apply Prepayment	- Prepayment reference number

	- Prepayment amount
	- Matching confirmation status
Initiate Payment Cycle	- Payment schedule
	- Payment method (e.g., bank transfer, check, online payment)
	- Payment confirmation details

3.14 required automation

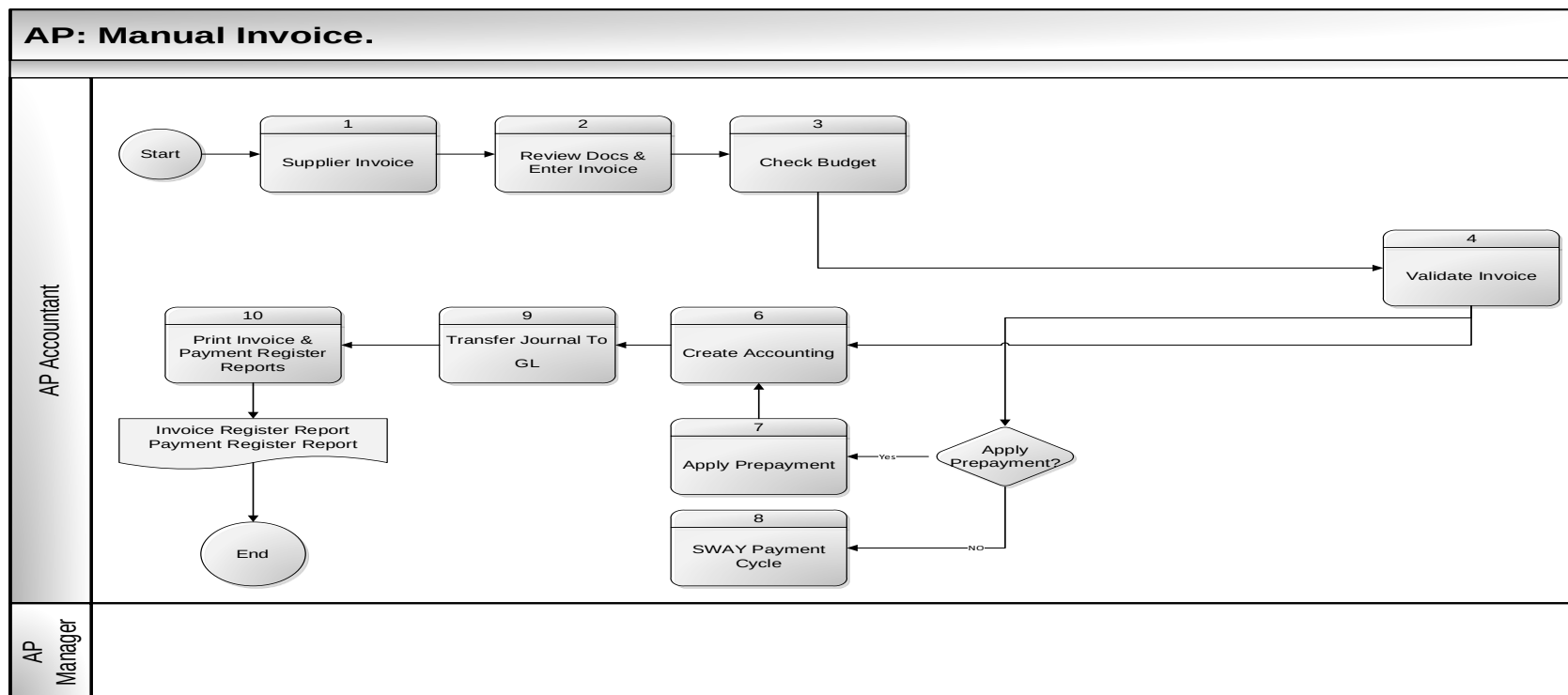
Automation Process	Automation Description
Supplier Invoice Verification	Integrate a system to automatically verify supplier invoices against purchase orders, ensuring accuracy and compliance with contract terms.
Document Review Automation	Use OCR (Optical Character Recognition) tools to digitize and analyze supporting documents, reducing manual entry efforts and errors.
Invoice Matching System	Employ rule-based algorithms to automatically match invoices with purchase orders and receipt records, highlighting discrepancies for correction.
Invoice Validation	Implement automated validation checks for tax compliance, line item accuracy, and overall invoice readiness for posting.
Accounting Entry Automation	Configure an SWAY system to automatically create and classify accounting entries based on invoice details and pre-defined chart of accounts.
GL Journal Transfer Automation	Enable seamless transfer of journal entries to the general ledger, with built-in reconciliation and confirmation mechanisms.
Report Generation	Develop automated tools to generate invoice and payment register reports, including summaries for documentation and audit trails.
Prepayment Application	Create a module to match and apply prepayments to invoices, ensuring automatic updates to the remaining balances.
Payment Cycle Automation	Integrate payment processing systems to schedule and execute payments, with real-time status tracking and notifications.

3.15 Journal Entry– PO Invoice

At Receiving	DR/ Expense
	CR/ AP Accrual
At Invoice Entry	DR/ AP Accrual
	CR/ AP Liability
At Payment Entry	DR/ AP Liability
	CR/ Cash Clearing
At Bank Reconciliation	DR/ Cash Clearing
	CR/ Bank

3.16 Manual invoice

3.17 Process Flow Diagram - Manual Invoice



3.18 Process details – Manual Invoice

- Supplier Invoices will be manually entered in the Invoice Workbench, and this will be the method used for entering daily suppliers' invoices.
- If you have a bulk of invoice will use the same type of invoice by using spreadsheet this function able to create bulk of invoices with excel sheet and upload it to application
- Customer/Supplier/Employee Refund will be entered and treated through the Account Payables.

3.19 Process Steps – Manual Invoice

Process Name	Performer	Automation	Description
Receive Supplier Invoice	AP accountant	Manual	AP accountant will receive the expenses invoices from the suppliers.
Enter the supplier invoice on the system	AP accountant	System	Review supporting documents & enter the invoice to the system.
Check Budget	AP accountant	System	The system will automatically check the budget.
Submit Invoice Validation	AP accountant	System	Invoice Validation
If the prepayment exists for this invoice apply it.	AP accountant	System	Apply Prepayment if any exists or pay the Invoice
Create accounting	AP accountant	System	Create the Journal Account for the invoice
Payment	AP accountant	System	Invoice payment (refer to payment process)
Review Invoice Register	AP accountant	Manual	Review Invoices

3.20 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Initiation	Receive Supplier Invoice	Supplier	AP Accountant	AP Manager	Management Team
Document Review and Entry	Review Documents	AP Accountant	AP Manager	Supplier Representative	Management Team
	Enter Invoice Details	AP Accountant	AP Manager	System Admin	Management Team
Verification	Conduct Budget Check	AP Accountant	AP Manager	Finance Team	Management Team
	Validate Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
Accounting and Prepayment	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
	Apply Prepayment (If Applicable)	AP Accountant	AP Manager	Finance Team	Management Team
Payment and Recording	Process Payment Cycle	AP Accountant	AP Manager	Bank Representative	Management Team
	Transfer Journal to GL	AP Accountant	AP Manager	Internal Auditor	Management Team
Reporting and Closure	Print Invoice Register Report	AP Accountant	AP Manager	Internal Auditor	Management Team
	Print Payment Register Report	AP Accountant	AP Manager	Internal Auditor	Management Team
	Conclude the Process	AP Accountant	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides input and expertise.
- **Informed (I):** Is updated about the task's progress or outcomes.

3.21 Required Attributes

Stage	Step	Attributes	Description
Initiation	Receive Supplier Invoice	- Invoice Number - Supplier Name - Invoice Date - Invoice Amount	Essential details to identify and track the invoice.
Document Review and Entry	Review Documents	- Document Checklist - Supporting Attachments	Ensures all required documents are complete and accurate.
	Enter Invoice Details	- Invoice Line Items - Description of Goods/Services - Purchase Order Number	Details needed for system entry and matching to orders.
Verification	Conduct Budget Check	- Budget Code - Remaining Budget Balance	Ensures the invoice aligns with allocated budget limits.
	Validate Invoice	- Validation Checklist - Approval Signatures	Confirmation of invoice details for accuracy and completeness.
Accounting and Prepayment	Create Accounting Entries	- Journal Entry ID - GL Account Codes	Tracks the accounting entries tied to the invoice.
	Apply Prepayment (If Applicable)	- Prepayment Reference Number - Prepayment Balance	Deducts applicable prepayments from the invoice.
Payment and Recording	Process Payment Cycle	- Payment Method - Payment Reference Number	Details for payment execution and tracking.
	Transfer Journal to GL	- GL Posting Date - Journal Reference Number	Ensures accurate posting of invoice details to the GL.
Reporting and Closure	Print Invoice Register Report	- Report ID - Generated Date - Prepared By	Attributes for tracking and audit trail purposes.
	Print Payment Register Report	- Report ID - Generated Date - Prepared By	Attributes for transparency and verification of payments.
	Conclude the Process	- Process End Date - Process Summary Notes	Finalizes the invoice workflow and logs key actions.

3.22 Required Automation

Automation Process	Automation Description
Invoice Receipt Automation	Use an OCR (Optical Character Recognition) tool to scan and digitize paper invoices.
Document Review Automation	Implement an automated document verification system to flag discrepancies and missing details.
Invoice Entry Automation	Enable data import automation to populate invoice fields directly from supplier-provided files.
Budget Check Automation	Integrate budget validation rules into the system to cross-check invoices with allocated budgets.
Invoice Validation Automation	Use workflow automation to route invoices through predefined approval processes.
Accounting Entry Automation	Deploy automatic journal creation based on invoice data, reducing manual accounting tasks.
Prepayment Application Automation	Set up a prepayment matching algorithm to apply prepayments automatically to relevant invoices.
Payment Processing Automation	Use automated payment scheduling tools to process payments efficiently and reduce delays.
GL Transfer Automation	Configure auto-journal posting to transfer invoice entries to the General Ledger seamlessly.
Report Generation Automation	Automate the creation of invoice and payment register reports using templates.
Closure Automation	Implement an end-of-process checklist tool to ensure all steps are completed before closure.

3.23 Journal Entry– Manual Invoice

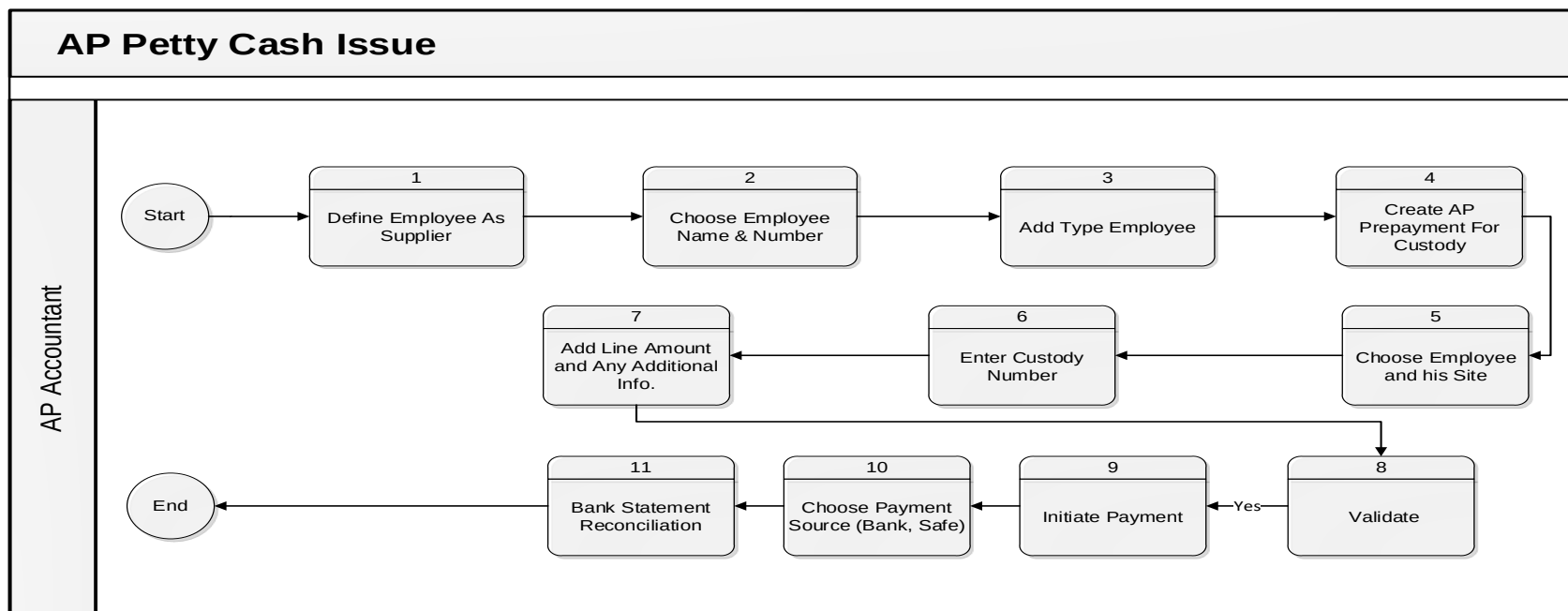
At Invoice Entry DR/ Expenses
 CR/ AP Liability

At Payment Entry DR/ AP Liability
 CR/ Cash Clearing

At Bank Reconciliation DR/ Cash Clearing
 CR/ Bank

3.24 Petty Cash Issuance

3.25 Process Flow Diagram – Petty Cash Issuance



3.26 Process details – Petty Cash Issuance

- Petty Cash Invoices will be manually entered in the Invoice Workbench, and this will be the method used for entering daily petty cash invoices.
- Create Petty Cash Supplier and Advance Payment Transaction.
- Create Employee as a Supplier.
- Add “Employee” type in supplier definition list.

3.27 Process Steps – Petty Cash Issuance

Process Name	Performer	Automation	Description
Define Employee as Supplier	AP Accountant	System	Define Supplier Related to Employee That will Receive Advance payment
Create AP Prepayment for Custody	AP Accountant	System	Create AP Prepayment Against Employee Supplier with targeted Site
Validate	AP Accountant	System	Validate prepayment invoice to be paid
Initiate Payment in SWAY ERP	AP Accountant	System	Pay Prepayment Invoice

3.28 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Define Employee as Supplier	Set Up Employee as Supplier	AP Accountant	AP Manager	HR Department	Management Team
	Select Employee Name and Number	AP Accountant	AP Manager	HR Department	Management Team
Configure Employee Details	Add Employee Type	AP Accountant	AP Manager	HR Department	Management Team
	Create AP Prepayment for Custody	AP Accountant	AP Manager	Finance Team	Management Team
Validate Custody Information	Choose Employee and Site	AP Accountant	AP Manager	System Admin	Management Team
	Enter Custody Number	AP Accountant	AP Manager	Internal Auditor	Management Team
Enter Payment Details	Add Line Amount	AP Accountant	AP Manager	Internal Auditor	Management Team
	Enter Additional Information	AP Accountant	AP Manager	Internal Auditor	Management Team
Execute Payment	Validate Transaction	AP Accountant	AP Manager	Internal Auditor	Management Team
	Initiate Payment	AP Accountant	AP Manager	Bank Representative	Management Team
	Select Payment Source	AP Accountant	AP Manager	Finance Team	Management Team
Reconciliation and Closure	Perform Bank Statement Reconciliation	AP Accountant	AP Manager	Internal Auditor	Management Team
	Conclude the Process	AP Accountant	AP Manager	None	Management Team

3.29 Required Attributes

Stage	Step	Attributes	Description
Define Employee as Supplier	Set Up Employee as Supplier	- Employee ID - Supplier Code	Unique identifiers for the employee as a supplier.
	Select Employee Name and Number	- Employee Name - Employee Number	Accurate identification for transaction linkage.
Configure Employee Details	Add Employee Type	- Employee Type Code - Classification Details	Specifies the employee's role (e.g., petty cash custodian).
	Create AP Prepayment for Custody	- Prepayment ID - Prepayment Amount	Tracks prepayment transactions.
Validate Custody Information	Choose Employee and Site	- Site Name - Site Code	Ensures correct site assignment for petty cash.
	Enter Custody Number	- Custody Reference Number	Unique identifier for the petty cash custody.
Enter Payment Details	Add Line Amount	- Transaction Amount - Currency Code	Defines the petty cash amount and currency.
	Enter Additional Information	- Notes/Comments - Justification for Petty Cash	Provides relevant context for the transaction.
Execute Payment	Validate Transaction	- Validation Checklist - Approval Signatures	Confirms accuracy and approvals before payment.
	Initiate Payment	- Payment Request ID - Payment Approval Status	Identifies and tracks the payment request.
	Select Payment Source	- Payment Method - Source Account Details	Defines the payment channel, e.g., bank or safe.
Reconciliation and Closure	Perform Bank Statement Reconciliation	- Bank Statement ID - Reconciliation Status	Verifies payment accuracy and updates records.
	Conclude the Process	- Process End Date - Process Summary Notes	Finalizes and logs the petty cash process.

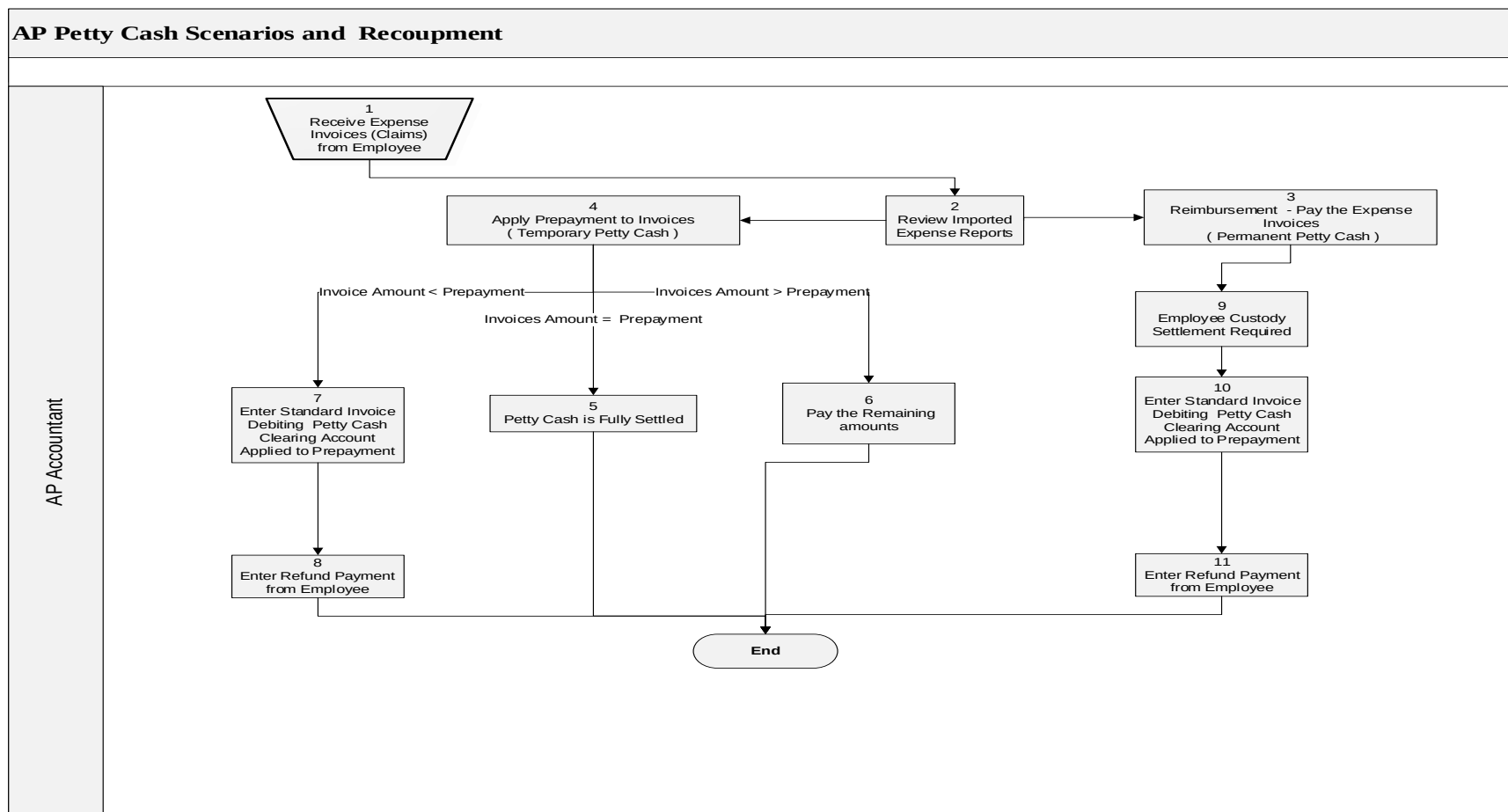
3.30 Required automation

Automation Process	Automation Description
Employee Supplier Setup Automation	Automatically categorize employees as suppliers in the system using predefined templates.
Employee Selection Automation	Enable automated employee selection by retrieving details from the HR database.
Employee Type Configuration Automation	Set employee type automatically using role-specific rules integrated into the system.
Prepayment Creation Automation	Use automation to initiate AP prepayment entries based on custody requests with predefined parameters.
Custody Validation Automation	Validate custody information, including sites and reference numbers, using automated verification tools.
Line Amount Entry Automation	Automatically populate petty cash amounts and relevant additional details from custody records.
Transaction Validation Automation	Use automated approval workflows to validate transaction details and approvals before payment.
Payment Processing Automation	Implement automated payment scheduling tools for petty cash disbursement, integrated with payment methods.
Source Selection Automation	Automate the selection of payment source (e.g., bank or safe) based on predefined rules.
Bank Statement Reconciliation Automation	Use reconciliation software to automatically match payment records with bank statements.
Closure Automation	Enable end-of-process automation to ensure all steps are completed, including logging and reporting.

At Prepayment Creation	DR/ Prepayment (Advanced to Employee) CR/ AP Liability
At Payment Entry	DR/ AP Liability CR/ Cash Clearing
At Bank Reconciliation	DR/ Cash Clearing CR/ Bank

3.32 AP Petty Cash scenarios and Recoupment.

3.33 Process Flow Diagram – AP Petty Cash scenarios and Recoupment.



3.34 Process details – AP Petty Cash scenarios and Recoupment.

- Settlement for employee supplier. Enter / Import Expense Invoices if we use the Expense module and will illustrate the 2 cycles in CRP Session and Apply Employee Advance.

3.35 Process Steps – AP Petty Cash scenarios and Recoupment.

Process Name	Performer	Automation	Description
Receive Expense Invoices	AP Accountant	Manual	Receive Invoices paid by employee
Review Imported Expense Reports	AP Accountant	System	Review and Validate Imported Expense Reports
Apply Prepayment to Invoices (Temporary Petty Cash)	AP Accountant	System	Apply Prepayment to Expense Invoices to Close Custody
Pay Expense Invoices (Permanent Petty Cash)	AP Accountant	System	Reimburse Expenses by paying invoices to employee.
Settle Petty Cash Custodies	AP Accountant	System	Enter Standard Invoice to close custody if needed or refund amount from employees.

3.36 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Initiate Process	Receive Expense Invoices	Employee	AP Accountant	HR Department	Management Team
	Review Imported Expense Reports	AP Accountant	AP Manager	Internal Auditor	Management Team
Manage Payments	Pay the Expense Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
	Apply Prepayment to Invoices	AP Accountant	AP Manager	Finance Team	Management Team
Reconcile and Settle Accounts	Settle Petty Cash	AP Accountant	AP Manager	Internal Auditor	Management Team
	Pay Remaining Amounts	AP Accountant	AP Manager	Finance Team	Management Team
Handle Adjustments	Enter Standard Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
	Refund Payment	AP Accountant	AP Manager	Finance Team	Management Team
	Employee Custody Settlement	AP Accountant	AP Manager	Internal Auditor	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Owns the task and ensures it is completed.
- **Consulted (C):** Provides input, expertise, or approval.
- **Informed (I):** Is updated about the task's progress or outcomes.

3.37 Required Attributes

Stage	Step	Attributes	Description
Initiate Process	Receive Expense Invoices	- Invoice Number - Employee Name - Invoice Date - Invoice Amount	Essential details for identifying and tracking the invoice.
	Review Imported Expense Reports	- Expense Report ID - Approved Amount - Supporting Documentation	Ensures the accuracy and completeness of expense claims.
Manage Payments	Pay the Expense Invoice	- Invoice Payment Reference - Payment Method - Payment Amount	Tracks details for permanent petty cash payments.
	Apply Prepayment to Invoices	- Prepayment Reference ID - Remaining Prepayment Balance	Links temporary prepayments to submitted invoices.
Reconcile and Settle Accounts	Settle Petty Cash	- Reconciliation Status - Outstanding Amount	Validates the balance of petty cash transactions.
	Pay Remaining Amounts	- Final Payment Amount - Payment Confirmation ID	Handles outstanding balances for employees.
Handle Adjustments	Enter Standard Invoice	- Invoice Reference ID - Clearing Account Code	Debits clearing account for prepayment applications.
	Refund Payment	- Refund Request ID - Refund Amount - Reason for Refund	Processes refunds from employees when applicable.
	Employee Custody Settlement	- Custody Settlement ID - Settlement Amount - Remaining Custody Balance	Resolves pending custody balances for reconciliation.

3.38 Required Automation

Automation Process	Automation Description
Expense Invoice Receipt Automation	Use OCR (Optical Character Recognition) tools to digitize paper-based expense invoices.
Expense Report Review Automation	Deploy report validation automation to flag incomplete reports or discrepancies automatically.
Permanent Petty Cash Payment Automation	Automate payment processing for permanent petty cash invoices through predefined workflows.
Prepayment Application Automation	Use matching algorithms to automatically apply prepayments to corresponding expense invoices.
Petty Cash Settlement Automation	Implement a settlement tool to reconcile petty cash transactions and highlight discrepancies.
Outstanding Amount Payment Automation	Automatically calculate and schedule payments for remaining balances using integrated tools.
Standard Invoice Entry Automation	Deploy an automated invoice entry system to debit petty cash clearing accounts for prepayments.
Refund Payment Automation	Create a refund processing system to automate refund calculations and payment scheduling.
Custody Settlement Automation	Use custody reconciliation automation to close pending balances and generate settlement records.

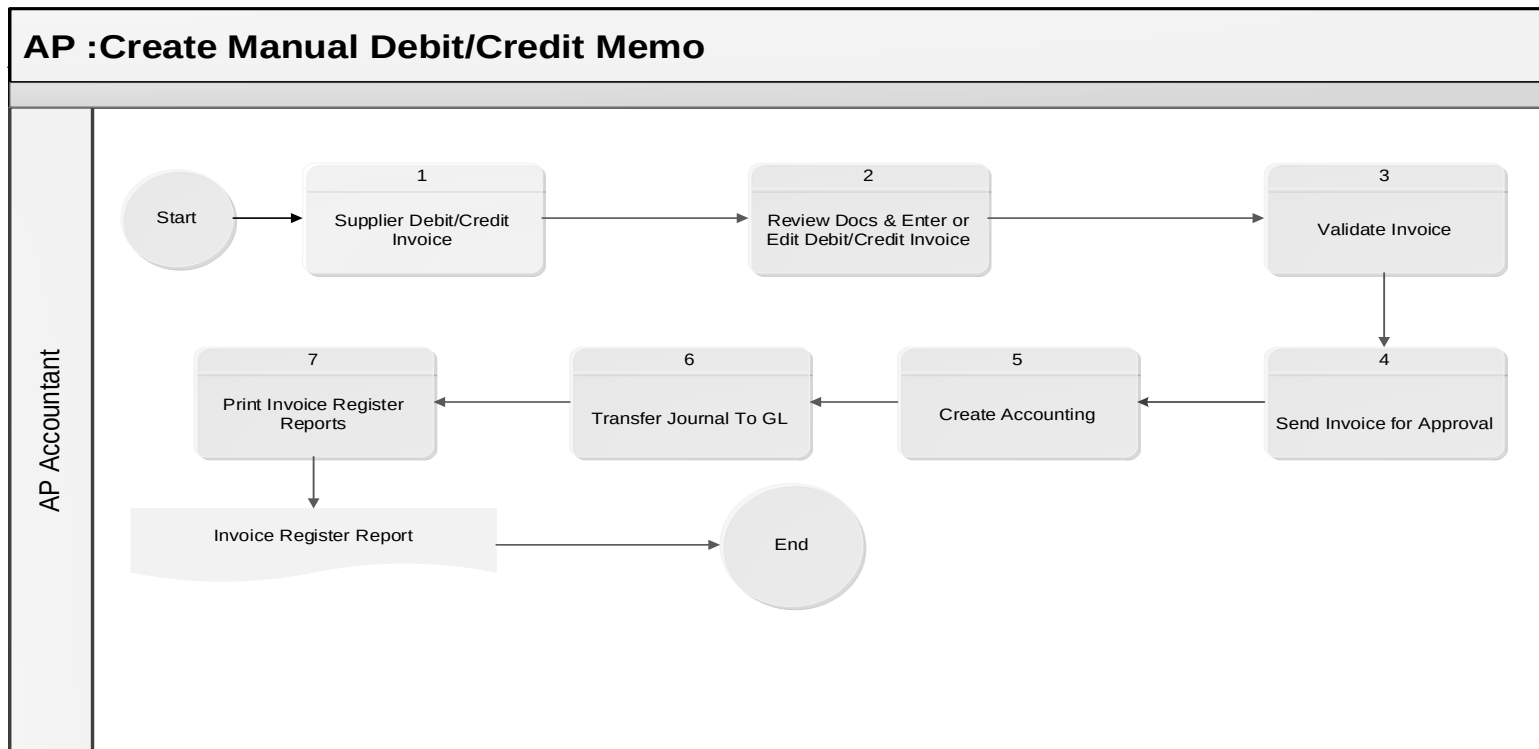
3.39 Journal Entry– AP Petty Cash scenarios and Recoupment.

Event	Journal Entry
Temporary Petty Cash	
Enter Prepayment (Advance to Employee)	Dr/Petty Cash Custodies Cr / Payables – Employees
Pay Prepayment	Dr/ Payables – Employees Cr /Bank, Cash
Settlement 1st Scenario (Expense Invoices = Advance) Enter / Import Expense Invoices and Apply Employee Advance to it.	Dr/ Expense Account1 Dr / Expense Account2 Dr / Expense Account3 Cr / Payables – Employees Cr / Petty Cash Custodies
Settlement 2nd Scenario (Expense Invoices < Advance) Enter Settlement Standard Invoice with the remaining advance amount and apply prepayment to it	Dr /Petty Cash Settlement Clearing Account Cr /Petty Cash Custodies

Enter Misc. Receipt to Record the employee deposit in the bank or cash refund	Dr / Bank Cr/ Petty Cash Settlement Clearing Account
Settlement 3rd Scenario (Expense Invoices > Advance) Issue Payment with the remaining amounts after applying the total employee advance amount to the expense invoices received.	Dr / Payables – Employees Cr / Bank, Cash

3.40 Create Manual Debit/Credit Invoice6+3

3.41 Process Flow Diagram - Debit/Credit Memo



3.42 Process details – Debit/Credit Memo

- Enter a credit or debit memo to record a credit for goods or services purchased. Credit/debit memos are netted with basic invoices at payment time.
 - **Credit Memo.** Negative amount invoice created by a supplier and sent to you to notify you of a credit.
 - **Debit Memo.** Negative amount invoice created by you and sent to a supplier to notify the supplier of a credit you are recording. Usually sent with a note explaining the debit memo.

3.43 Process Steps – Debit/Credit Memo

Process Name	Performer	Automation	Description
Receive Supplier Debit/Credit Memo	AP accountant	Manual	AP accountant will receive the debit or credit memos from the suppliers.
Enter the supplier Debit/Credit memo on the system	AP accountant	System	Review supporting documents & enter the Debit/Credit memo to the system.
Enter Debit/Credit memo lines	AP accountant	System	Enter Debit/Credit memo lines
Apply on old Invoice	AP accountant	System	AP Accountant will apply the Credit memo on existing invoice if needed.
Validate Debit/Credit Memo	AP accountant	System	Validate Debit/Credit Memo
Submit Approval Process	AP Manager	System	Submit Approval Process
Create accounting	AP accountant	System	Create the Journal Account for the Debit/Credit Memo
Review Invoice Register	AP accountant	Manual	At the end of the month after posting, a final invoice register is printed for filing.

3.44 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Initiation	Obtain Supplier Debit/Credit Invoice	Supplier	AP Accountant	None	AP Manager
Review and Entry	Review Supporting Documents	AP Accountant	AP Manager	Internal Auditor	Management Team
	Enter/Edit Debit/Credit Invoice	AP Accountant	AP Manager	System Admin	Management Team
Validation	Validate Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
Approval	Send Invoice for Approval	AP Accountant	AP Manager	Finance Team	Management Team
Accounting and Posting	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
	Transfer Journal to GL	AP Accountant	AP Manager	Internal Auditor	Management Team
Reporting	Print Invoice Register Reports	AP Accountant	AP Manager	Internal Auditor	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides input, expertise, or approvals.
- **Informed (I):** Is updated about the progress or outcome of the task.

3.45 Required Attributes

Stage	Step	Attributes	Description
Initiation	Obtain Supplier Debit/Credit Invoice	- Invoice Type (Debit/Credit) - Invoice Number - Supplier Name - Invoice Date - Invoice Amount	Identifies the nature and details of the invoice.
Review and Entry	Review Supporting Documents	- Document Checklist - Supporting Attachments - Approval Notes	Verifies document completeness and accuracy.
	Enter/Edit Debit/Credit Invoice	- Invoice Line Items - General Ledger Account Codes - Tax Codes	Ensures proper entry of invoice details into the system.
Validation	Validate Invoice	- Validation Checklist - Approval Signatures - Date of Validation	Confirms invoice accuracy and compliance.
Approval	Send Invoice for Approval	- Approval Workflow ID - Approver's Name - Approval Status	Tracks the invoice's approval progress.
Accounting and Posting	Create Accounting Entries	- Journal Entry ID - Debit/Credit Amounts - Account Codes	Records the accounting entries for the transaction.
	Transfer Journal to GL	- GL Posting Date - Reference Number - Posting Status	Ensures journal entries are transferred correctly.
Reporting	Print Invoice Register Reports	- Report ID - Generated Date - Prepared By - Reviewed By	Attributes for audit and documentation purposes.

3.46 Required Automation

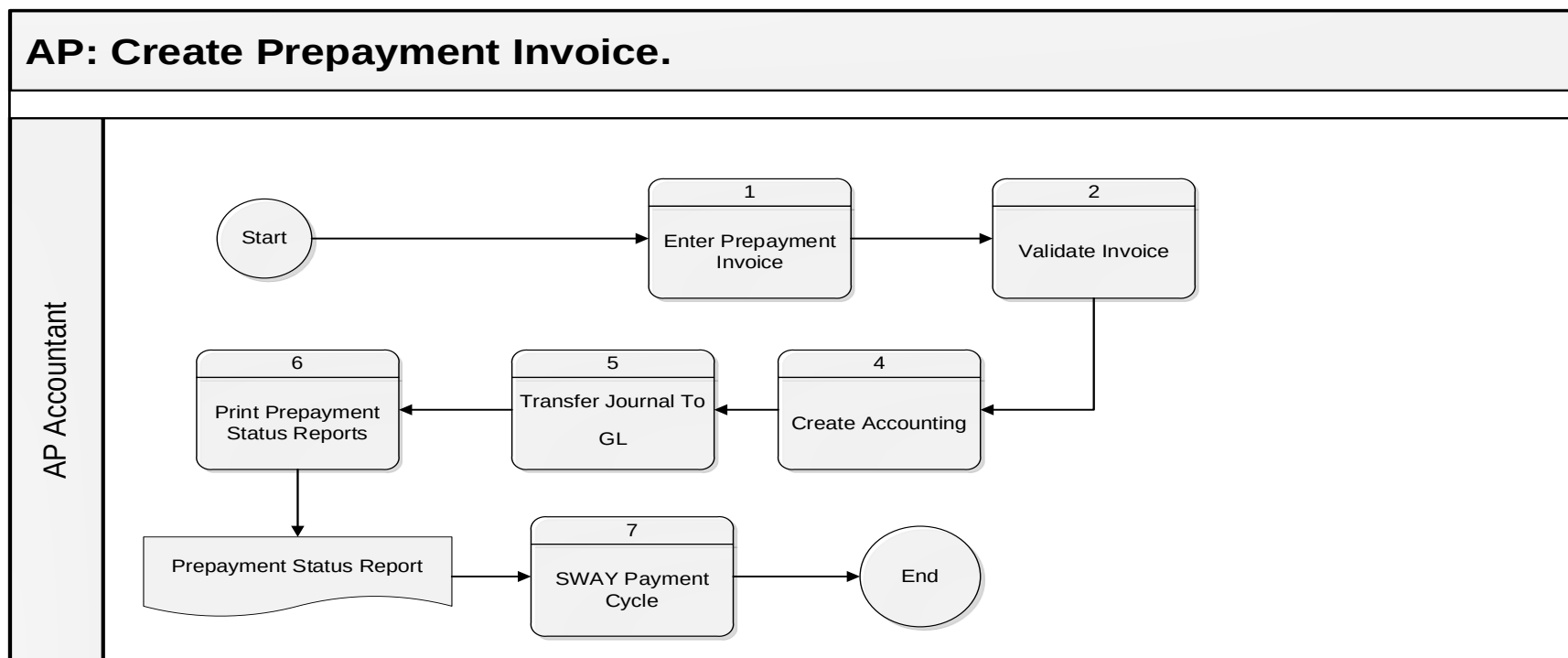
Automation Process	Automation Description
Invoice Receipt Automation	Utilize OCR (Optical Character Recognition) tools to scan and digitize supplier debit/credit invoices for easy system integration.
Document Review Automation	Implement document verification software to automatically check completeness and flag discrepancies in invoice documents.
Invoice Entry Automation	Deploy data import automation to populate debit/credit invoice fields directly into the accounting system.
Validation Workflow Automation	Use validation workflows to ensure invoice details are accurate and compliance checks are completed.
Approval Routing Automation	Leverage automated approval workflows to route invoices to the appropriate approver and track status updates.
Accounting Entry Automation	Enable automatic journal creation to record debit and credit entries based on validated invoice data.
GL Transfer Automation	Configure auto-journal posting to seamlessly transfer accounting entries to the General Ledger system.
Invoice Report Generation Automation	Automate the creation of invoice register reports using predefined templates for audit and documentation purposes.

3.47 Journal Entry– Debit/Credit Memo

Debit Memo	DR/ Expenses
	CR/ AP Liability
Credit Memo	DR/ AP Liability
	CR/ Expenses

3.48 Create Prepayment Invoice

3.49 Process Flow Diagram - Prepayment Invoice



3.50 Process details – Prepayment Invoice

- Prepayment is a type of invoice that you can apply to an outstanding invoice to reduce the invoice amount.
- If you want to apply a prepayment to one or more invoices or expense reports, you must first validate and pay the prepayments.
- Once receiving the supplier invoices the prepayment must be applied upon.
- Prepayment currency must be the same as the standard invoice's currency to be able to apply them.

3.51 Process Steps – Prepayment Invoice

Process Name	Performer	Automation	Description
Enter Prepayment Invoice	AP accountant	System	Enter the prepayment invoice manually and enter the distribution debiting the prepayment Account.
Validate & Print the Prepayment Status report	AP accountant	System	Validate & Print the Prepayment Status report for revision.
Validate and print the Prepayment Status report (in case of any revision modifications) for Filing.	AP accountant	System	At the end of the month after posting, a final Prepayment Status report is printed for filing.
Create payment	AP accountant	System	Create Payment

3.52 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Invoice Entry	Enter Prepayment Invoice	AP Accountant	AP Manager	Supplier	Management Team
Validation	Validate Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
Accounting	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
Journal Posting	Transfer Journal to GL	AP Accountant	AP Manager	System Admin	Management Team
Reporting	Print Prepayment Status Reports	AP Accountant	AP Manager	Internal Auditor	Management Team
Payment	SWAY Payment Cycle	AP Accountant	AP Manager	Finance Team	Management Team
Closure	End Process	AP Accountant	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Owns the task and ensures it is completed.
- **Consulted (C):** Provides input, expertise, or approval.
- **Informed (I):** Is updated about the task's progress or outcomes.

3.53 Required Attributes

Stage	Step	Attributes	Description
Invoice Entry	Enter Prepayment Invoice	- Prepayment Invoice Number - Supplier Name - Invoice Date - Prepayment Amount - Currency Code	Tracks the key details for entering the prepayment invoice in the system.
Validation	Validate Invoice	- Validation Checklist - Approval Signatures - Supporting Documentation - Invoice Status	Confirms the accuracy and completeness of the prepayment invoice.
Accounting	Create Accounting Entries	- Journal Entry ID - GL Account Codes - Debit/Credit Amounts	Captures the accounting details needed for recording in the ledger.
Journal Posting	Transfer Journal to GL	- GL Posting Date - Reference Number - Posting Status	Ensures proper and accurate posting of journal entries to the General Ledger.
Reporting	Print Prepayment Status Reports	- Report ID - Generated Date - Prepared By - Reviewed By	Provides documentation for tracking and audit purposes.
Payment	SWAY Payment Cycle	- Payment Reference Number - Payment Date - Payment Method	Tracks details related to processing the prepayment as part of the payment cycle.
Closure	End Process	- Process End Date - Process Summary Notes	Marks the completion of the prepayment invoice process.

3.54 Required automation

Automation Process	Automation Description
Prepayment Invoice Entry Automation	Use data import automation to populate invoice fields automatically based on supplier-provided templates or system-integrated information.
Invoice Validation Automation	Deploy validation workflows to check the accuracy, completeness, and compliance of prepayment invoices before approval.
Accounting Entry Automation	Configure automatic journal creation tools to generate accounting entries based on validated prepayment invoice data.
GL Transfer Automation	Implement auto-journal posting to ensure seamless transfer of accounting entries to the General Ledger.
Report Generation Automation	Use automated reporting tools to generate and print prepayment status reports using standardized formats.
Payment Processing Automation	Enable automated payment scheduling systems as part of the SWAY payment cycle to execute payments efficiently.
Workflow Closure Automation	Set up an end-of-process checklist automation to finalize and log the completed prepayment invoice workflow for documentation purposes.

3.55 Journal Entry– Prepayment Invoice

At Prepayment Entry	DR/ Prepayment	CR/ AP Liability
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At Payment Entry	DR/ AP Liability
	CR/ Cash Clearing

At Bank Reconciliation	DR/ Cash Clearing
	CR/ Bank
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3.56 Journal Entry– Prepayment Invoice

At Prepayment Entry

DR/ Prepayment

CR/ AP Liability

At Payment Entry

DR/ AP Liability

CR/ Cash Clearing

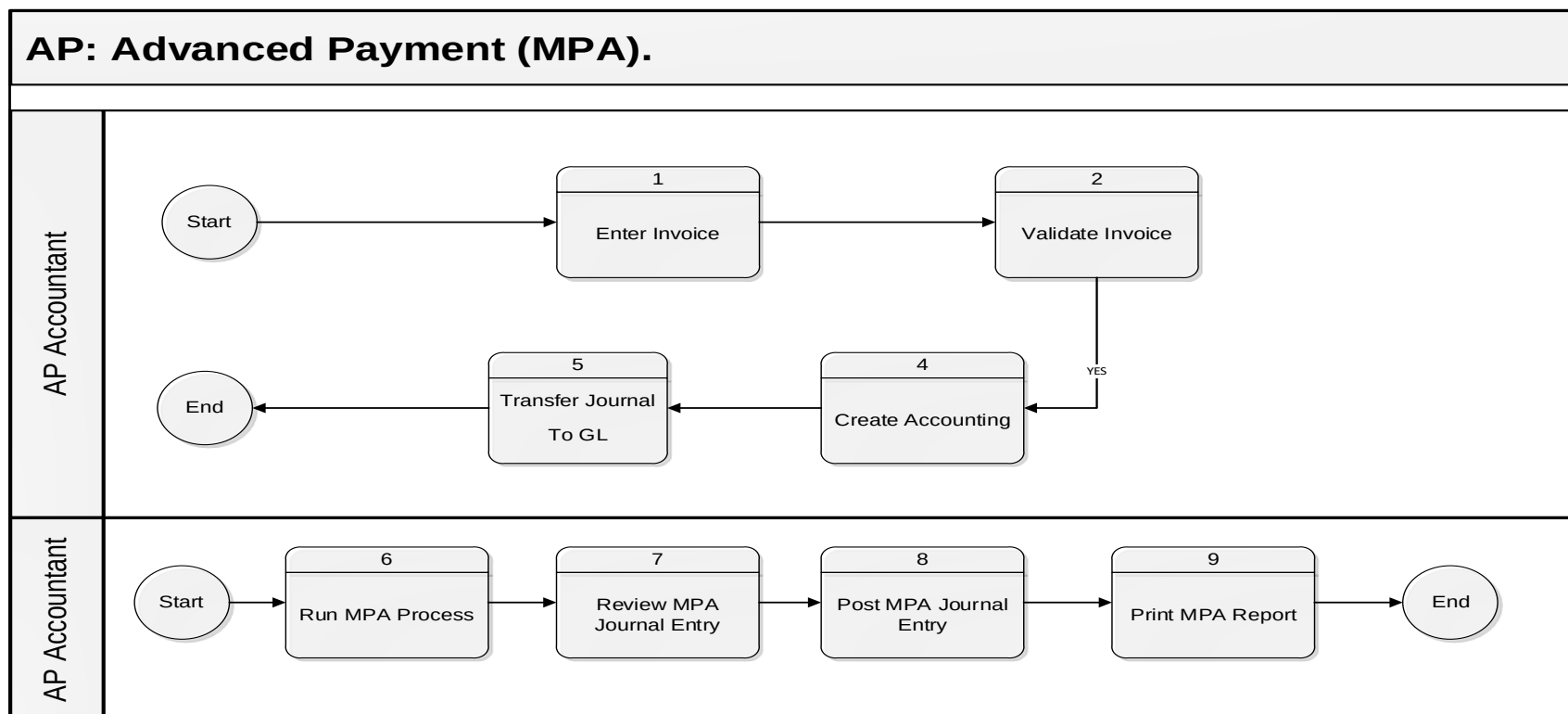
At Bank Reconciliation

DR/ Cash Clearing

CR/ Bank

3.57 Advanced Payment (MPA)

3.58 Process Flow Diagram - Multi-Period Accounting



3.59 Process details – Multi-Period Accounting

- This cycle represents the advance payment as it will be normal manual invoice without PO paid to the supplier then recurring journal will be created to amortize the advance payment account.
- For AP invoices that have PO, we will open a ticket with SWAY.

3.60 Process Steps – Multi-Period Accounting

Process Name	Performer	Automation	Description
Enter Invoice	AP accountant	System	Enter the invoice manually and enter the distribution debiting the Expense Account and enter the MPA (Multi period accounting) accounting details
Validate & Print the Invoice Status report	AP accountant	System	Validate & Print the Invoice Status
Create payment	AP accountant	System	Create Payment using the appropriate payment method.
Run MPA Process	AP accountant	System	Run the Multi-period accounting process.
Review MPA Journal Entries	AP accountant	System	Review the Multi-period accounting journals in the GL before posting
Post Recurring Journals	AP accountant	System	Post the Multi-period accounting journals.
Print MPA Report	AP accountant	System	The AP accountant will print the MPA report for final review.

3.61 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Invoice Entry	Enter Invoice	AP Accountant	AP Manager	Supplier	Management Team
Validation	Validate Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
Accounting	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
General Ledger Posting	Transfer Journal to GL	AP Accountant	AP Manager	System Admin	Management Team
MPA Process Execution	Run MPA Process	AP Accountant	AP Manager	Finance Team	Management Team
MPA Review and Posting	Review MPA Journal Entry	AP Accountant	AP Manager	Internal Auditor	Management Team
	Post MPA Journal Entry	AP Accountant	AP Manager	Internal Auditor	Management Team
Reporting	Print MPA Report	AP Accountant	AP Manager	Internal Auditor	Management Team
Process Closure	End Process	AP Accountant	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides input or expertise during the task.
- **Informed (I):** Is updated on the progress or outcomes of the task.

3.62 Required Attributes

Stage	Step	Attributes	Description
Invoice Entry	Enter Invoice	- Invoice Number - Supplier Name - Invoice Date - Payment Amount - Currency Code	Key details for creating and identifying the advanced payment invoice in the system.
Validation	Validate Invoice	- Validation Checklist - Approval Status - Supporting Documents - Tax Code	Ensures invoice accuracy and compliance with company policies.

Accounting	Create Accounting Entries	- Journal Entry ID - GL Account Codes - Debit/Credit Amounts	Captures required accounting details for journal creation.
General Ledger Posting	Transfer Journal to GL	- GL Posting Reference Number - Posting Date - Account Balances	Records journal entries in the General Ledger to maintain financial accuracy.
MPA Process Execution	Run MPA Process	- MPA Transaction ID - Allocation Rules - Payment Application Status	Automates allocation rules for advanced payments and tracks application progress.
MPA Review and Posting	Review MPA Journal Entry	- MPA Journal Entry ID - Validation Checklist - Approver's Name	Ensures the journal entry created during the MPA process is reviewed and validated.
	Post MPA Journal Entry	- Posting Confirmation Number - Posting Date - Final Approval Signatures	Tracks submission and accuracy of MPA journal entries.
Reporting	Print MPA Report	- Report ID - Generated Date - Prepared By - Reviewed By	Generates a detailed audit trail for MPA transactions.
Process Closure	End Process	- Process End Date - Closure Notes	Marks the completion and documentation of the advanced payment process.

3.63 Required Automation

Automation Process	Automation Description
Invoice Entry Automation	Implement automation to populate invoice details automatically, using predefined templates or integrations with supplier systems.
Invoice Validation Automation	Deploy validation workflows to automatically verify the completeness, accuracy, and compliance of advanced payment invoices.
Accounting Entry Automation	Use journal generation automation to create accounting entries based on validated invoice data.

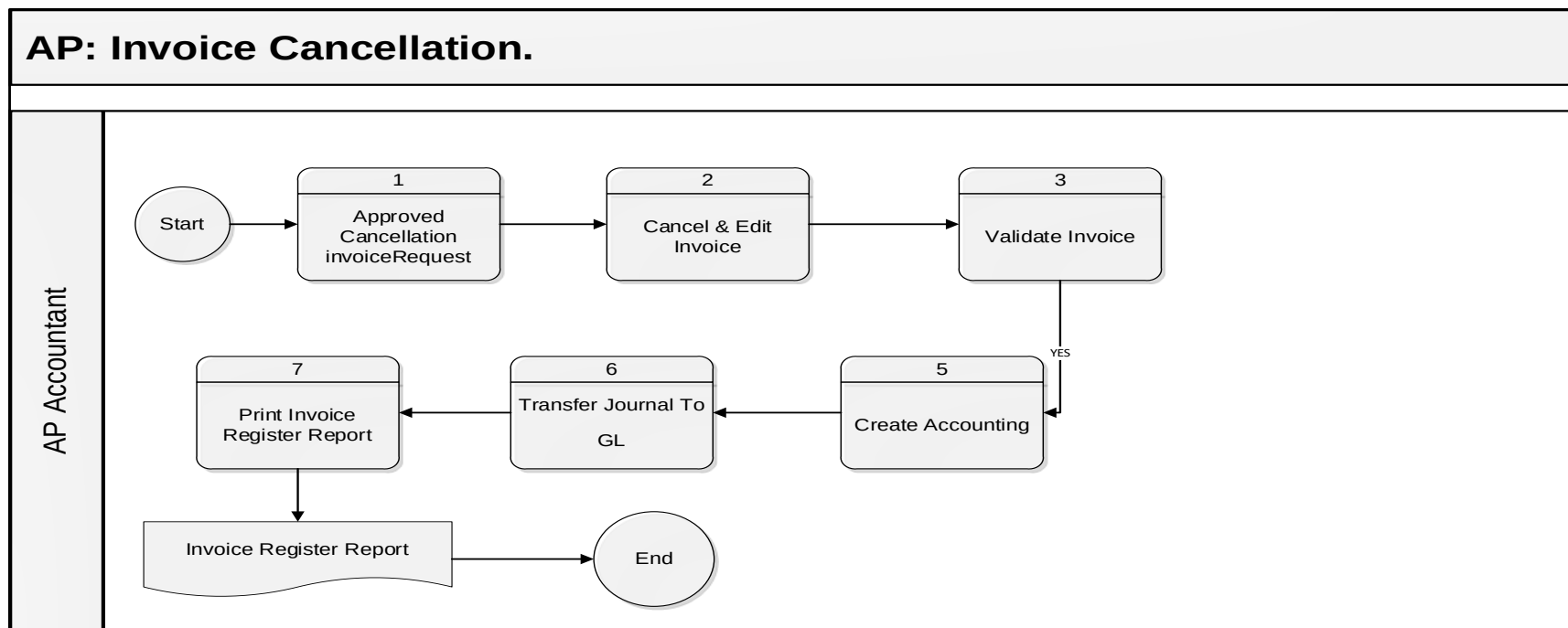
GL Posting Automation	Configure auto-posting tools to seamlessly transfer accounting journal entries to the General Ledger.
MPA Execution Automation	Enable MPA process automation to allocate multiple payments dynamically based on predefined payment rules.
MPA Journal Review Automation	Use automated validation tools to review and flag any inconsistencies in MPA journal entries.
Journal Posting Automation	Configure automated posting workflows to submit approved MPA journal entries for posting in the system.
Report Generation Automation	Implement automated tools to generate and print MPA reports with pre-defined templates for audit and documentation purposes.
End-of-Process Automation	Set up closure automation to finalize the workflow and log all activities for future reference and audits.

3.64 Journal Entry– Multi-Period Accounting

At MPA Invoice Entry	DR/ Prepaid Expense CR/ AP Liability
At Payment Entry	DR/ Liability CR/ Cash Clearing
At Bank Reconciliation	DR/ Cash Clearing CR/ Bank
At Running MPA Process	DR/ Expense CR/ Prepaid Expense

3.65 Invoice Cancellation

3.66 Process Flow Diagram - Invoice Cancellation



3.67 Process details – Invoice Cancellation

- Invoices could be cancelled as long as it is not paid yet.
- Invoices will be cancelled due to several reasons as wrong data entry, or purchases return.
- You can cancel only unpaid invoices.
- Once we recognize it in monthly Vat report we can't cancel even if it's not paid, the treatment will be creating a debit memo invoice.
- The cancelled invoice shouldn't be a paid invoice either by check or by prepayment.
- If paid by prepayment it should be unapplied.
- If paid, and we not reconcile the payment with the bank then we will void the payment, and if we reconciled the AP invoice with the bank we will unclear the reconciliation firstly then will void the payment.

3.68 Process Steps – Invoice Cancellation

Process Name	Performer	Automation	Description
Issue & Approve Invoice cancellation request	AP Accountant	Manual	The concerned department issues an invoice cancellation request and sends it to Finance department.
Cancel invoices	AP Accountant	System	AP Accountant queries the invoices included in the request and cancels them.
Create Accounting	AP Accountant	System	The AP Accountant will create accounting for the invoice.

3.69 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Initiation	Approved Cancellation Invoice Request	AP Accountant	AP Manager	Internal Auditor	Management Team
Invoice Cancellation	Cancel & Edit Invoice	AP Accountant	AP Manager	System Admin	Management Team
Validation	Validate Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
Accounting	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
General Ledger Posting	Transfer Journal to GL	AP Accountant	AP Manager	System Admin	Management Team
Reporting	Print Invoice Register Report	AP Accountant	AP Manager	Internal Auditor	Management Team
	Invoice Register Report Review	AP Accountant	AP Manager	Internal Auditor	Management Team
Process Closure	End Process	AP Accountant	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Owns the task and ensures it is completed.
- **Consulted (C):** Provides input or expertise during the task.
- **Informed (I):** Is updated on the progress or outcome of the task

3.70 Required Attributes

Stage	Step	Attributes	Description
Initiation	Approved Cancellation Invoice Request	- Request ID - Approval Status - Request Date	Identifies and tracks the cancellation request with details.
Invoice Cancellation	Cancel & Edit Invoice	- Invoice Number - Supplier Name - Invoice Amount - Cancellation Reason	Captures key details for editing and canceling the invoice.
Validation	Validate Invoice	- Validation Checklist - Approval Notes - Invoice Status	Ensures the canceled invoice is accurate and properly updated.
Accounting	Create Accounting Entries	- Journal Entry ID - GL Account Codes - Debit/Credit Amounts	Captures the accounting details required for generating journal entries.
General Ledger Posting	Transfer Journal to GL	- GL Posting Reference Number - Posting Date - Account Balances	Ensures proper posting of accounting entries to the General Ledger.
Reporting	Print Invoice Register Report	- Report ID - Generated Date - Prepared By - Reviewed By	Tracks and documents the cancellation details for audit purposes.
	Invoice Register Report Review	- Review Status - Review Notes - Approved By	Validates and finalizes the generated report for record-keeping.
Process Closure	End Process	- Process End Date - Closure Notes	Marks the completion and documentation of the invoice cancellation workflow.

3.71 Required Automation processes

Automation Process	Automation Description
Cancellation Request Approval Automation	Use workflow automation to route cancellation requests to approvers and track approval statuses efficiently.
Invoice Cancellation and Editing Automation	Deploy invoice management tools to automatically edit and cancel invoices based on predefined rules and templates.
Invoice Validation Automation	Utilize validation tools to check the completeness and accuracy of canceled invoice details against system data.
Accounting Entry Generation Automation	Configure journal creation automation to generate accounting entries automatically for canceled invoices.
GL Posting Automation	Implement auto-posting systems to transfer journal entries seamlessly to the General Ledger.
Register Report Generation Automation	Use reporting tools to automatically generate and print invoice register reports for audit and tracking purposes.
Report Review and Approval Automation	Deploy a report validation system to streamline the review and approval process for cancellation reports.
End-of-Process Automation	Set up workflow closure automation to finalize the process and log activities for documentation and auditing purposes.

3.72 Journal Entry– Invoice Cancellation

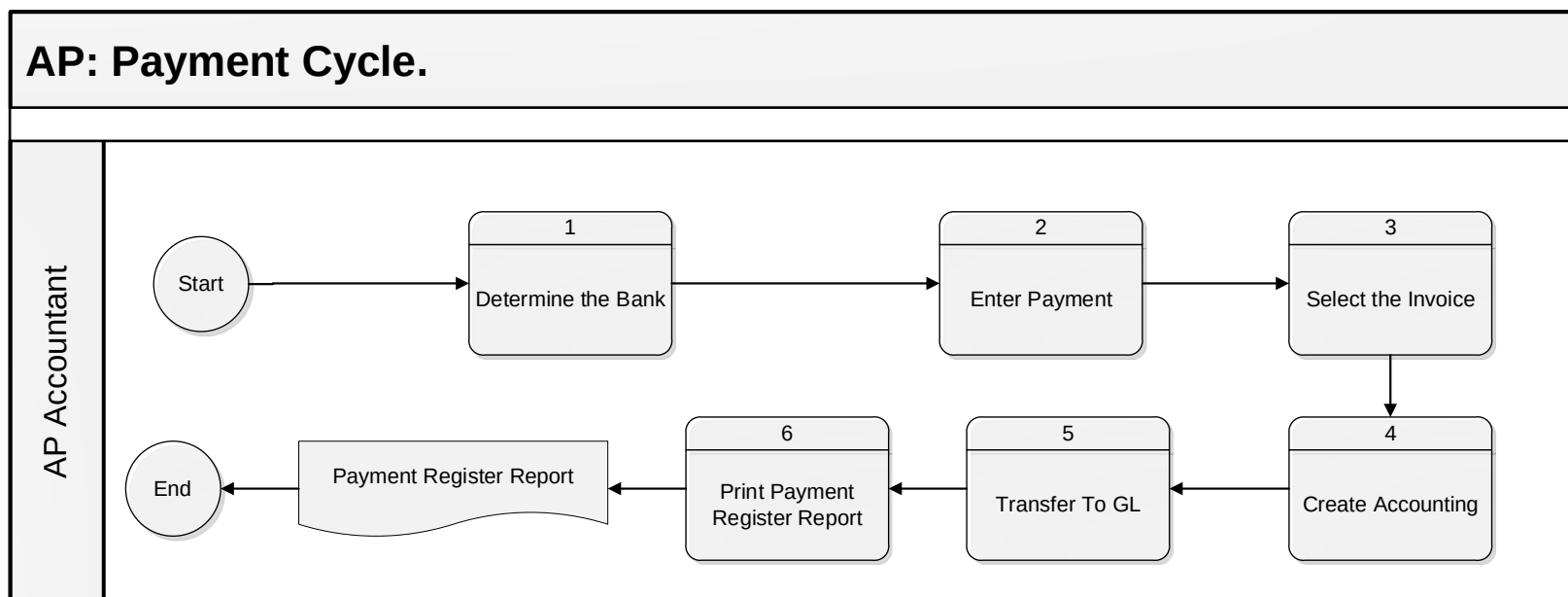
AP Invoice Cancellation

DR/ Liability

CR/ Expense / AP Accrual / Asset Clearing

3.73 Payment Cycle.

3.74 Process Flow Diagram - Payment



3.75 Process details – Payment

- When you create a payment for Payables, using a typed check or wire transfer, you can record the payment and update the invoices that you paid. Also use this method cash to pay invoices with the Clearing payment method, also you can Print payment checks from the system.
- Withholding Tax Invoice will be calculated at the Payment
- Payment Process Profile function will be used if you need to pay multiple invoices in one transaction.

3.76 Process Steps – Payment

Process Name	Performer	Automation	Description
Enter payments on the system	AP Accountant	System	AP Accountant. can use single payment or payment Process Profile for multi payments at same time
Match against invoices	AP Accountant	System	Match against invoices
Create Accounting	AP Accountant	System	AP accountant creates accounting for the payment entry and review.

3.77 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Initiation	Approved Cancellation Invoice Request	AP Accountant	AP Manager	Internal Auditor	Management Team
Invoice Cancellation	Cancel & Edit Invoice	AP Accountant	AP Manager	System Admin	Management Team
Validation	Validate Invoice	AP Accountant	AP Manager	Internal Auditor	Management Team
Accounting	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
General Ledger Posting	Transfer Journal to GL	AP Accountant	AP Manager	System Admin	Management Team
Reporting	Print Invoice Register Report	AP Accountant	AP Manager	Internal Auditor	Management Team
	Invoice Register Report Review	AP Accountant	AP Manager	Internal Auditor	Management Team
Process Closure	End Process	AP Accountant	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides input or expertise during the task.
- **Informed (I):** Is updated on the progress or outcomes of the task.

3.78 Required Attributes

Stage	Step	Attributes	Description
Initiation	Approved Cancellation Invoice Request	- Request ID - Approval Status - Request Date	Tracks and identifies the cancellation request details.
Invoice Cancellation	Cancel & Edit Invoice	- Invoice Number - Supplier Name - Invoice Date - Original Invoice Amount - Cancellation Reason	Captures relevant information for editing and canceling the invoice.
Validation	Validate Invoice	- Validation Checklist - Validation Date - Approver's Name - Updated Invoice Status	Ensures accuracy and compliance of the canceled invoice.
Accounting	Create Accounting Entries	- Journal Entry ID - GL Account Codes - Debit/Credit Amounts	Captures details required for generating accounting entries.
General Ledger Posting	Transfer Journal to GL	- GL Posting Date - Posting Reference Number - Journal Status	Ensures proper posting of accounting entries into the General Ledger.
Reporting	Print Invoice Register Report	- Report ID - Generated Date - Prepared By - Reviewed By	Documents cancellation details for audit and tracking purposes.
	Invoice Register Report Review	- Review Status - Review Notes - Final Approval Signatures	Ensures the report is finalized and approved for record-keeping.
Process Closure	End Process	- Process End Date - Closure Remarks	Marks the completion of the invoice cancellation workflow.

3.79 Required Automation

Automation Process	Automation Description
Cancellation Request Approval Automation	Implement workflow automation to streamline routing of cancellation requests for review and approval, ensuring efficient tracking.
Invoice Cancellation Automation	Use invoice management tools to automatically edit and cancel invoices based on predefined business rules.
Invoice Validation Automation	Deploy validation workflows to check the accuracy, completeness, and compliance of canceled invoice details before proceeding.
Accounting Entry Automation	Configure journal creation automation to automatically generate accounting entries for canceled invoices.
GL Posting Automation	Enable auto-journal posting systems to transfer accounting entries seamlessly into the General Ledger.
Report Generation Automation	Use reporting tools to automatically generate and print invoice register reports for tracking and audit purposes.
Report Review and Approval Automation	Deploy a report validation system to automate the review and approval of cancellation reports, ensuring compliance.
End-of-Process Automation	Set up workflow closure automation to finalize the process and log all actions for accurate documentation and audits.

3.80 Journal Entry– Payment

At Payment Entry

Dr/ AP Liability

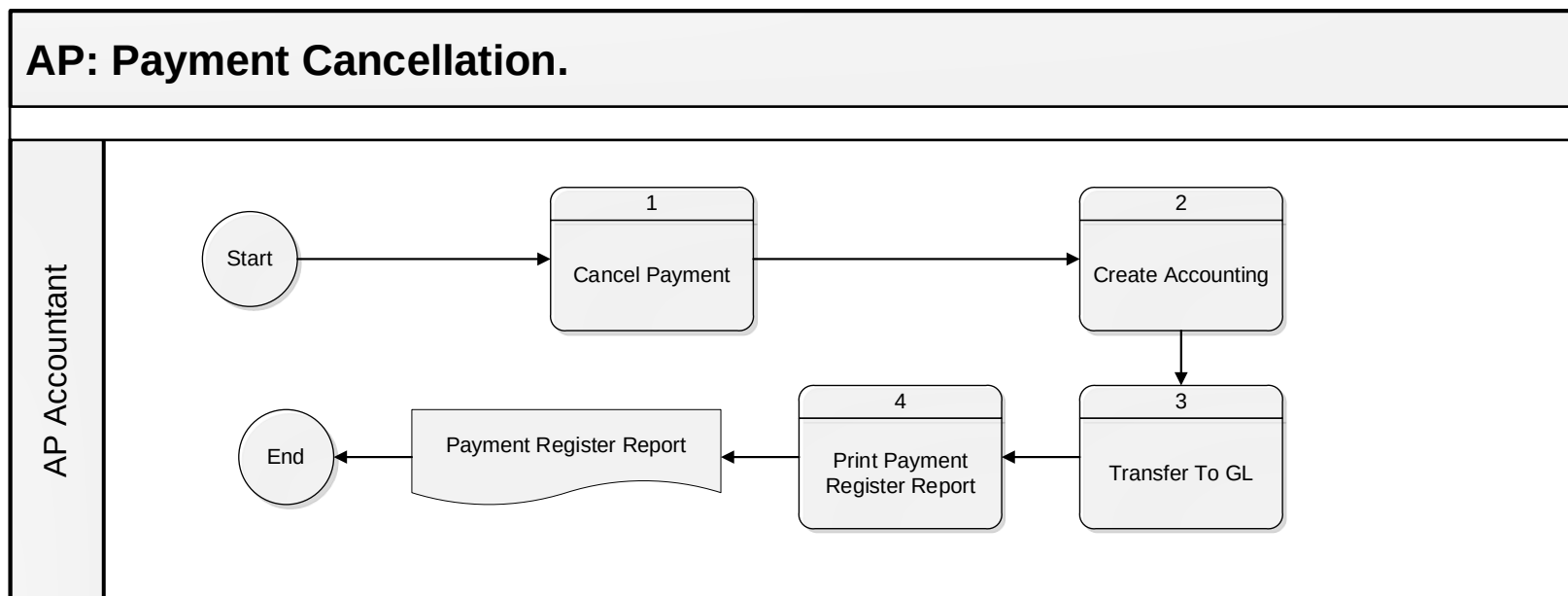
Cr. Bank Clearing Account

At Bank Reconciliation Dr/ Bank Clearing Account

Cr. Bank

3.81 Payment Cancellation

3.82 Process Flow Diagram - Payment Cancellation



3.83 Process details – Payment Cancellation

- Cancel Payment (Void) is a process where the check printed is cancelled due to various reasons as check cancelling, the agreement with the supplier or wrong data entry.
- This cycle will be used to cancel all types of payments (Standard invoice payment and Prepayment invoice payment)

3.84 Process Steps – Payment Cancellation

Process Name	Performer	Automation	Description
Cancel Payment on the system	AP Accountant	System	Cancel the payment transaction on the system by only the responsible person
Transfer to GL	AP Accountant	System	Transfer all AP journals to GL
Print void payment report	AP Accountant	System	Print void payments report and submit for Finance Manager signature.

3.85 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Cancellation	Cancel Payment	AP Accountant	AP Manager	System Admin	Management Team
Accounting	Create Accounting Entries	AP Accountant	AP Manager	Internal Auditor	Management Team
General Ledger Posting	Transfer to GL	AP Accountant	AP Manager	System Admin	Management Team
Reporting	Print Payment Register Report	AP Accountant	AP Manager	Internal Auditor	Management Team
	Payment Register Report Review	AP Accountant	AP Manager	Internal Auditor	Management Team
Process Closure	End Process	AP Accountant	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides input or expertise during the task.
- **Informed (I):** Is updated about the progress or outcomes of the task.

3.86 Required Attributes

Stage	Step	Attributes	Description
Cancellation	Cancel Payment	- Payment ID - Supplier Name - Payment Date - Payment Amount - Cancellation Reason	Tracks and identifies the canceled payment with essential details.
Accounting	Create Accounting Entries	- Journal Entry ID - GL Account Codes - Debit/Credit Amounts - Accounting Date	Captures information for creating accurate accounting entries to reflect the cancellation.
General Ledger Posting	Transfer to GL	- GL Posting Date - Journal Reference Number - Posting Status	Ensures proper posting of accounting entries to the General Ledger.
Reporting	Print Payment Register Report	- Report ID - Generated Date - Prepared By - Reviewed By	Documents the payment cancellation in a detailed report for audit and compliance purposes.
	Payment Register Report Review	- Review Notes - Review Status - Approval Signatures	Validates and finalizes the printed report for record-keeping.
Process Closure	End Process	- Process End Date - Closure Notes - Final Confirmation	Marks the completion and proper documentation of the payment cancellation process.

3.87 Required Automation

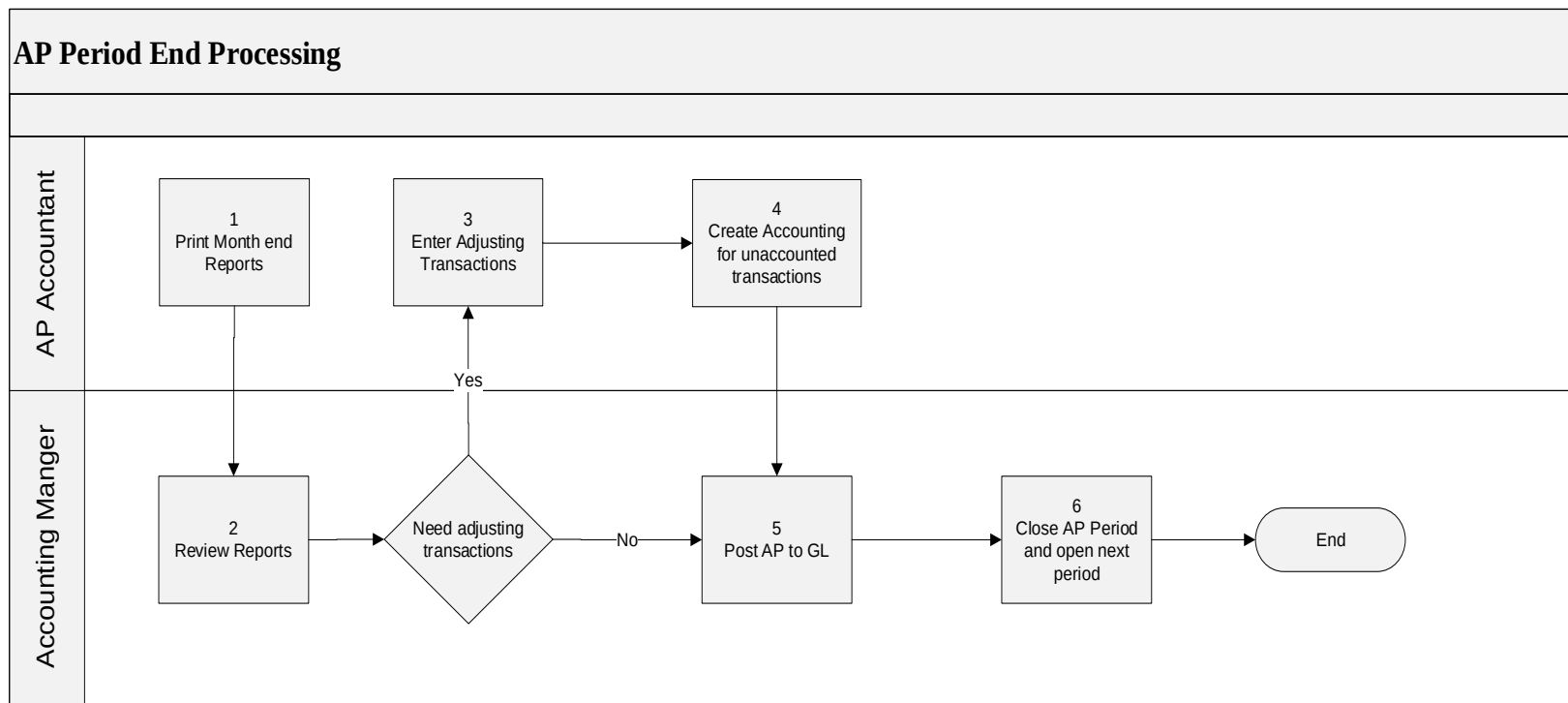
Automation Process	Automation Description
Payment Cancellation Automation	Implement payment management tools to automatically void and cancel payment transactions based on predefined rules.
Accounting Entry Automation	Use journal creation automation to automatically generate accounting entries reflecting the canceled payment.
GL Posting Automation	Deploy auto-journal posting systems to seamlessly transfer accounting entries to the General Ledger.
Report Generation Automation	Utilize reporting tools to automatically create and print payment register reports for accurate documentation.
Report Review and Approval Automation	Set up report validation workflows to automate the review and approval of payment cancellation reports, ensuring compliance.
Audit Trail Automation	Enable audit trail tracking systems to log and monitor all payment cancellation activities for transparency and traceability.
End-of-Process Automation	Configure workflow closure automation to finalize the process and log all activities for proper documentation and audits.

3.88 Journal Entry– Payment Cancellation

DR/ Bank Clearing Account

CR/ AP Liability

3.89 Process Flow Diagram - Period End Processing



3.90 Process details – Period End Processing

3.91 Process Steps – Period End Processing

Process Name	Performer	Automation	Description
Print reports	AP Accountant	System	Print month end reports
Create Accounting for Transactions	AP Accountant	System	Create accounting for any pending transactions in AP
Post Accounting to GL	Accounting Manager	System	Post AP to GL
Close AP period and open next one	Accounting Manager	System	Close AP period and Opens Next period

3.92 RACI matrix

Stage	Step	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
Report Generation	Print Month-End Reports	AP Accountant	AP Manager	System Admin	Management Team
Review and Adjustment	Review Reports	Accounting Manager	AP Manager	Internal Auditor	Management Team
	Enter Adjusting Transactions	AP Accountant	AP Manager	Accounting Manager	Management Team
Accounting Completion	Create Accounting for Unaccounted Transactions	AP Accountant	AP Manager	Internal Auditor	Management Team
Posting	Post AP to GL	Accounting Manager	AP Manager	Internal Auditor	Management Team
Period Closure	Close AP Period and Open Next Period	Accounting Manager	AP Manager	Internal Auditor	Management Team
Process Closure	End Process	Accounting Manager	AP Manager	None	Management Team

- **Responsible (R):** Executes the task.
- **Accountable (A):** Ensures the task is completed and owns the process.
- **Consulted (C):** Provides input or expertise during the task.
- **Informed (I):** Is updated on the progress or outcomes of the task.

3.93 Required Attributes

Stage	Step	Attributes	Description
Report Generation	Print Month-End Reports	- Report ID - Reporting Period - Prepared By - Generated Date	Captures essential details for creating period-end reports.
Review and Adjustment	Review Reports	- Review Status - Reviewer Name - Review Notes	Provides documentation of the review process for accuracy and completeness.
	Enter Adjusting Transactions	- Adjustment Transaction ID - Adjustment Date - Transaction Type - Adjustment Amount	Tracks adjustments made to transactions during the review phase.
Accounting Completion	Create Accounting for Unaccounted Transactions	- Journal Entry ID - GL Account Codes - Debit/Credit Amounts	Details for generating journal entries for unaccounted transactions.
Posting	Post AP to GL	- GL Posting Reference - Posting Date - Journal Status	Ensures accurate posting of journal entries to the General Ledger.
Period Closure	Close AP Period and Open Next Period	- Closure Confirmation ID - Closure Date - Next Period Start Date	Marks the official closure of the current AP period and initiation of the next.
Process Closure	End Process	- Process End Date - Final Approval - Closure Notes	Documents the completion and verification of the AP period-end processing workflow.

Approvals:

Approver 1

Approver 2
